Eisenhower administration considered the proposals excessive. But the president worried about the vulnerability of newly independent states.[267] Thus, while reducing the amount, Dulles elicited from Congress more aid for India for FY1954 than had ever been authorized, making the following case:

> Whether you like India or not … there is a pretty important sort of competition going on between India and Communist China.… If the Indians fall and collapse it will be very difficult to prevent Communists from taking control in India and doing in India what they have demonstrated in China that they can do better, and on the other hand, if India proves they can do it better, then there might be a reverse effect.[268]

Representatives Vorys and Judd grudgingly admitted that while they did not like Nehru, it served American purposes to help India prevent communists from making gains. Others noted that if they cut aid to India even further, it might have negative repercussions on India's stance in the NNRC.[269]

India, in turn, really needed foreign aid, and Nehru publicly acknowledged that it was "very important" to have a working relationship with the US: "What we do or do not do is powerfully affected by our relations with America."[270] The importance of aid was evident in India's reaction to the American uproar over an Indian shipment of thorium nitrate to China in 1953. Before that, when there had been some US concern about Indian exports of another strategic material—rubber goods—to China, India had suspended such exports. But in July 1953 the US ambassador received reports that a state-owned Indian company was shipping thorium nitrate to China. The Battle Act of 1951 in the US made countries exporting strategic items to countries like China and the Soviet Union ineligible to receive US aid.

When Indian officials became aware that the shipments would result in a suspension of US aid, they argued that aid had to come with no strings attached.[271] Nehru told Allen that even if he could recall the shipment, the "political consequences, both internally and in relations between India and China, would be so serious as to render [such action] impossible."[272]